AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# Nautilus Biotechnology

NASDAQ : NAUT · Young-Company DCF (Damodaran)

22 October 2026 · the qualitative

**$2.71**

$345M mkt cap · 127M sh · $129M cash, zero debt

## THE CENTRAL QUESTION

Will Nautilus turn a peer-reviewed proteoform method into a shipping Voyager (mid-2027) and meaningful share of a $130B proteomics TAM by 2036 — or will a ~$1 stock and an armed at-market equity program force the dilution the bear cases model before revenue scales?

NAUT's ~$1 stock values it at about its last-reported $129M of cash (Jun 30 2026), which a ~$13-14M quarterly burn erodes; first revenue was $0.19M. Q2 2026 reset the plan: Voyager ships mid-2027; Broadscale missed spec, undated. Runway into Q1 2028; a debt and/or equity raise is planned by mid-2027, with a $125M at-market equity program filed. Shipping peers — Olink (Thermo), SomaScan (Illumina), Alamar — anchor margins and TAM. Modal case ~30% below the price; 87% of the probability sits at or below it (43% at $0), so the value is in a 13% tail.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -75.6% · 87% at or below spot

**$4.46** expected fair value today

+64.7% vs spot $2.71

### FORWARD COMPOUNDED VALUE

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $6.49 | $9.45 | $13.75 | $20.02 |
| 2.40× spot | 3.49× spot | 5.07× spot | 7.39× spot |

### WEIGHTING RATIONALE

**Ultra Bear 20%** Deepest tail: single-molecule never validates commercially; equity wiped under full dilution.

**Bear 23%** Research niche under entrenched affinity rivals; the Broadscale trigger tripped and near-$1 raises are armed.

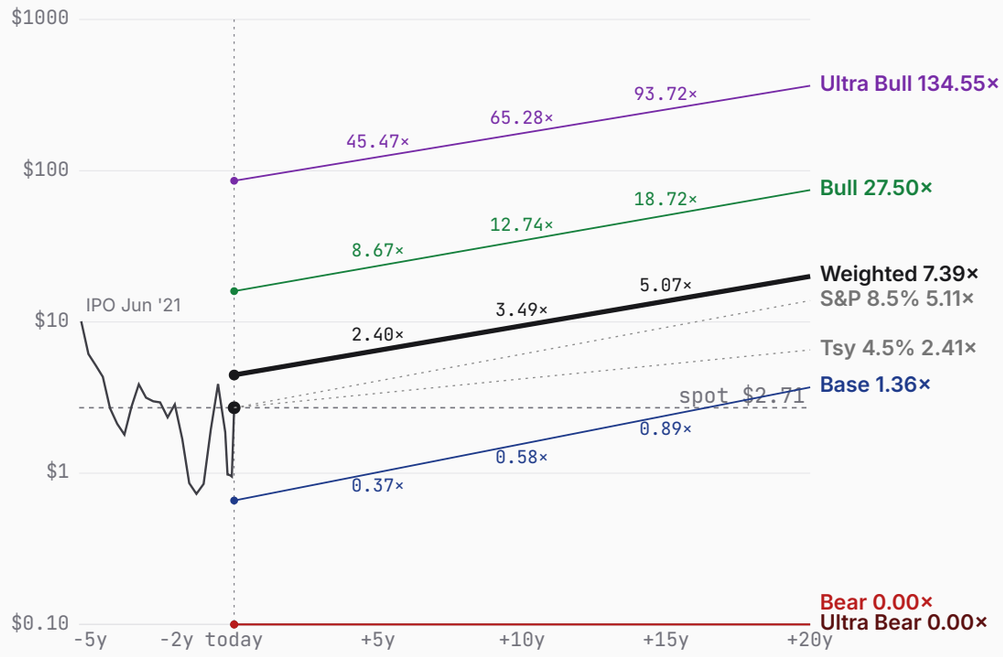
**Base 44%** Modal: Voyager ships mid-2027, ~1% FY36 TAM share — but raising near $1-2 leaves it below spot.

**Bull 10%** Compound conditional: single-molecule wins proteoforms; Tau success drives adoption. Broadscale miss trims it.

**Ultra Bull 3%** Tail of tails: dominant proteomics + multiomics + software-take-rate + platform re-rating.

Bull (10%) + Ultra Bull (3%) together contribute $4.17 — 94% of the $4.46 expected value despite 13% combined probability. Today's spot ($2.71) sits 39% below the weighted expected.

### PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




| ULTRA BEAR | BEAR | BASE | BULL | ULTRA BULL |
|---|---|---|---|---|
| $0.00 | $0.00 | $0.66 | $15.99 | $85.84 |
| -100.0% vs spot | -100.0% vs spot | -75.6% vs spot | +490.0% vs spot | +3067.5% vs spot |
| TAM 0.3% P(fail) 52%<br>S2C 0.7 Prob 20% | TAM 0.5% P(fail) 40%<br>S2C 0.7 Prob 23% | TAM 1.2% P(fail) 18%<br>S2C 1.0 Prob 44% | TAM 2.1% P(fail) 8%<br>S2C 1.4 Prob 10% | TAM 4.2% P(fail) 3%<br>S2C 1.6 Prob 3% |
| Platform fails to validate; deepest wipeout. | Capital exhausts; equity wiped. | Niche-but-real proteomics player. | Single-molecule wins proteoforms. | Dominant + multiomics + take-rate. |

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

# Nautilus Biotechnology scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 20% Bear 23% Base 44% Bull 10% Ultra Bull 3% · Weighted expected $4.46 (+64.7% vs spot)

## ULTRA BEAR $0.00

-100.0% vs spot

Probability 20%

### Platform fails to validate; deepest wipeout.

#### WHY 20%

The deepest-failure tail, separated from the bear so the downside is not one undifferentiated bucket (the convention across the rest of the book). 20% weight reflects genuine technical / competitive failure risk for a near-pre-revenue single-molecule platform whose Voyager launch has slipped again (shipments now mid-2027) and whose competitors (Olink at Thermo, SomaScan at Illumina, mass spec) are entrenched. Distinct from the bear (which reaches sub-scale $0.60B but is diluted to zero): here the platform fails outright. Within-scenario 52% p_fail captures Nautilus-specific bankruptcy / wind-down risk at the extreme.

#### WHAT HAPPENS

The catastrophic tail: Voyager's single-molecule chemistry fails to validate at commercial scale at all. Tau Early Access (2026-27) surfaces disqualifying reproducibility or throughput limits, Broadscale never reaches spec after its Q2 2026 miss, and customers reject the platform outright for Olink / SomaScan affinity assays and mass spec. Revenue stalls near zero — about $0.30B by FY36, under 0.25% of the $130B proteomics TAM.

NAUT still raises the ~$1.1B of dilutive capital trying to reach commercial scale (127M to ~2.3B shares at $0.34-0.70, 95% dilution), but the money is spent against a platform that never gains traction — the worst combination of full dilution and a failed product. Operating EV is deeply negative with no self-sustaining FCF base, so the terminal carries negative going-concern value rather than the bear's floored-at-zero.

## BEAR $0.00

-100.0% vs spot

Probability 23%

### Capital exhausts; equity wiped.

#### WHY 23%

Early-commercial single-molecule platforms face risks the market knows well: Olink sold to Thermo at a premium; SomaLogic merged into Standard BioTools at a discount, then went to Illumina in Jan 2026, so both affinity incumbents carry a giant's distribution; Quantum-Si has pushed Proteus to Q2 2027. NAUT-specific: in Q2 2026 Voyager slipped again (shipments mid-2027) and Broadscale missed spec with no new date, tripping the memo's pre-committed bear trigger on the company's own disclosure. $129M of cash (Jun 2026) funds operations into Q1 2028; management plans a debt and/or equity raise by mid-2027 through a newly filed $125M at-market program, so the bear's financing path is the one now armed. 23% weight, up from 15% (43% combined downside with the ultra- bear): still below the 45-52% downside mass of cash-constrained young peers, given ~6 quarters of runway and no going-concern language. Within-scenario 40% p_fail captures bankruptcy risk.

#### WHAT HAPPENS

The pessimistic case is structural. Voyager's single-molecule resolution doesn't deliver at commercial scale: Tau Early Access data through 2026-27 surfaces reproducibility or throughput limitations that cap broader adoption. Broadscale, which missed spec in Q2 2026, stays undated. Customers default to affinity platforms (Olink at Thermo, SomaScan at Illumina) for routine proteomics and to mass spec for high-end research, leaving single-molecule proteomics as a research-niche curiosity.

To maintain solvency through commercial launch, NAUT raises ~$1.1B cumulatively at $0.40-0.95/share — the first round by mid-2027 near today's price, then successive dilutive rounds at falling prices as the equity story deteriorates. Share count balloons from 127M to ~1.87B (93% dilution). By FY36 NAUT reaches just 0.5% of the $130B proteomics TAM — $600M revenue at 8% margin, profitable but tiny relative to the diluted share count.

## BASE $0.66

-75.6% vs spot

Probability 44%

### Niche-but-real proteomics player.

#### WHY 44%

Modal outcome. Voyager ships on the reset schedule (pre-orders early 2027, shipments mid-2027); the assay catalog broadens; installed base reaches 500-1000 instruments by 2030. NAUT reaches ~1-2% of the $130B FY36 proteomics TAM. Mature operating margin ~15-18%, between commodity tools (~10%) and specialty diagnostics (~25%). Dilution from ~$1.08B of 2027-2034 raises at $1.10-2.00/share lands at ~85%, priced at the observed ~$1 regime and stepping up no faster than young peers' raise schedules. 44% weight, cut from 50% because the Q2 2026 reset contradicted this case's launch timing, its Broadscale leg and its no-raise- until-2028 financing; still modal, since it needs a strong team executing on a long timeline, not a win over entrenched affinity platforms (Olink/Thermo, SomaScan/Illumina).

#### WHAT HAPPENS

The middle path. Voyager ships on the reset schedule (pre- orders early 2027, shipments mid-2027); pre-orders convert to $5-15M of 2027 revenue from early adopters (academic + select biopharma). The Tau proteoforms assay drives Alzheimer's research adoption — a credible biomarker hook into a large neuroscience market — and a ~20-assay catalog by mid-2028 extends utility. A later Broadscale configuration widens the market without displacing affinity platforms for routine work.

Through 2028-2030, the installed base grows from ~100 instruments to ~500 at $250-400K/yr each (instrument + consumables + assays). NAUT raises ~$1.08B at $1.10-2.00/share, the first tranche by mid-2027 at today's price regime, lifting share count to ~864M (85% dilution; modeled all-equity, the conservative reading of a planned debt-and-equity mix). Operating margin crosses zero by 2030 and reaches 16% by 2036.

## BULL $15.99

+490.0% vs spot

Probability 10%

### Single-molecule wins proteoforms.

#### WHY 10%

Compound conditional: Voyager establishes single-molecule resolution as the new gold standard for proteoform analysis (40-50% conditional on execution) AND Tau success drives Alzheimer's research/biomarker mainstream adoption (50%) AND assay portfolio expands to 10-15+ proteoforms by 2030 (60% conditional) AND mature margins reach 20-25% (40% conditional) AND the market gives NAUT credit via acquisition or re-rating (50%). Joint at 10-15% before the Q2 2026 reset; reflected at 10%, trimmed from 12% because Broadscale — this case's broad-proteome pillar — missed spec and is undated, and shipments slipped to mid-2027. The bull requires conjunctive execution AND a favorable backdrop where affinity platforms (Olink at Thermo, SomaScan at Illumina) don't simply absorb the single-molecule frontier.

#### WHAT HAPPENS

The bull case is that single-molecule resolution becomes the new gold standard for proteoform analysis. Tau success — FDA biomarker validation, mainstream adoption in Alzheimer's drug development — catalyzes broader category acceptance. A re-engineered Broadscale recovers from its Q2 2026 spec miss and delivers on the 10B-protein-mapping promise; customers adopt Voyager as the routine high-resolution workhorse alongside (not replacing) Olink and SomaScan.

By 2030, NAUT operates 2,000+ instruments globally at $300-500K/yr each (instrument + reagents + assay subscriptions). Assay catalog expands from 2 to 15+ proteoform assays. Pharma partnerships drive multi-year recurring revenue. Operating margin reaches 22% by FY36 as software/assay mix shifts to higher-margin recurring revenue. NAUT becomes an obvious acquisition target for Thermo / Danaher / Bruker at premium multiples — or remains independent at platform-tools scale.

## ULTRA BULL $85.84

+3067.5% vs spot

Probability 3%

### Dominant + multiomics + take-rate.

#### WHY 3%

Tail of tails: requires every Bull condition to hit AND multiomics integration becomes routine (proteomics + sequencing + cell biology fused as the new research and diagnostic standard) AND NAUT captures dominant share at 4%+ of $130B TAM AND software- economics emerge via instrument-as-a-service / assay-take-rate model AND multiple re-rates from tools to platform. Each individually 30-50% conditional on the prior; joint at 2-4%. 3% weight matches JOBY and the book's tail floor. The broad-proteome leg it needs is the configuration that missed spec in Q2 2026; that risk sits in the 3% weight, while the second-act gate rests on the now peer-reviewed decode method.

#### WHAT HAPPENS

The ultra-bull case requires Voyager to become the dominant single-molecule proteomics platform AND for multiomics integration (proteomics + sequencing + cell biology) to emerge as the standard for both research and diagnostics. By 2030 NAUT operates 5,000+ instruments globally. By 2034, an instrument-as-a-service / assay-take-rate model emerges with software-economics on a meaningful fraction of revenue — the Mobileye/Illumina platform-take-rate analog. This "multiomics becomes routine" leg is now openly contested: Illumina — which acquired SomaScan in Jan 2026 — is pairing affinity proteomics with its sequencing installed base and DRAGEN software to originate the same platform Power, so the conditional is more likely to occur but less likely to be NAUT-captured (probability held at the 3% tail floor).

Compound conditional: Voyager wins the single-molecule race (30% conditional on Tau success) AND multiomics becomes routine (40% conditional on platform success) AND NAUT captures dominant share at 4%+ of $130B TAM (25% conditional on both) AND multiple expansion from tools to platform (50% conditional on all above). Joint at 1.5-3%. Reflected here at 3%.

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

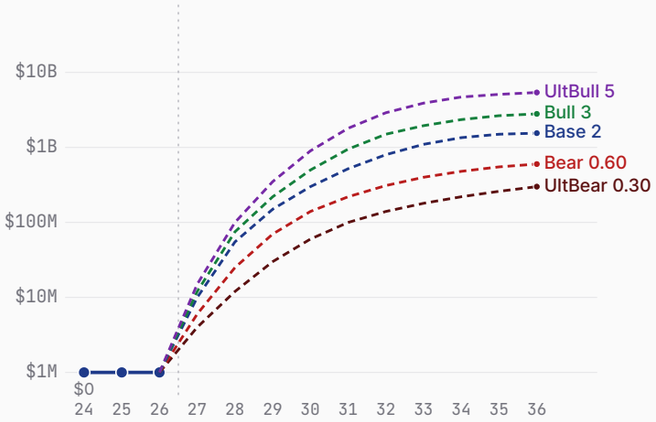
# Nautilus Biotechnology business snapshot



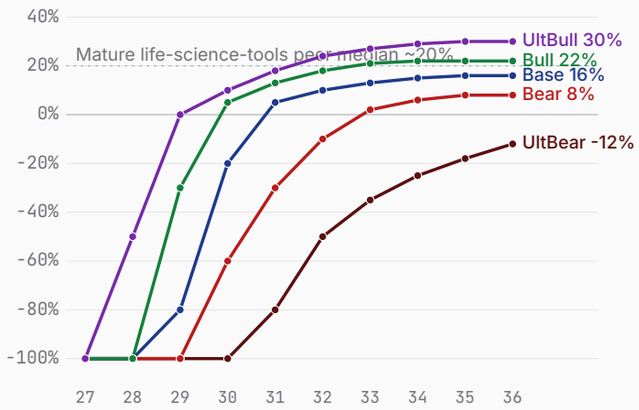
Bear $0.00 Base $0.66 Bull $15.99

FY24-FY26 history + FY27-FY36 scenario projections · fiscal years end Dec 31 · Q2 2026 10-Q and call, Nature Methods (Sep 2026), peer filings

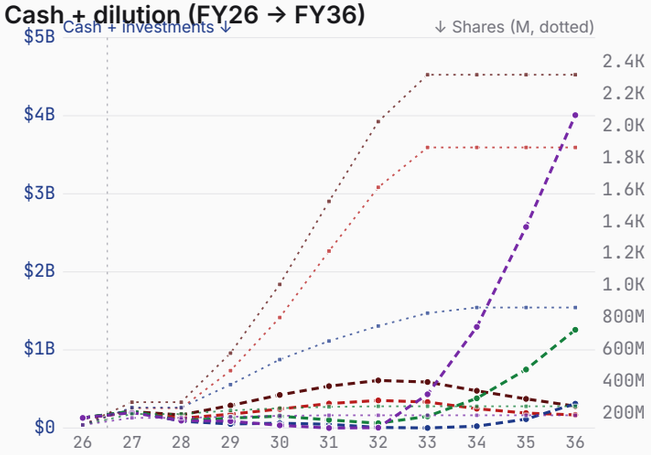
## Revenue — history + scenarios to FY36 (log)



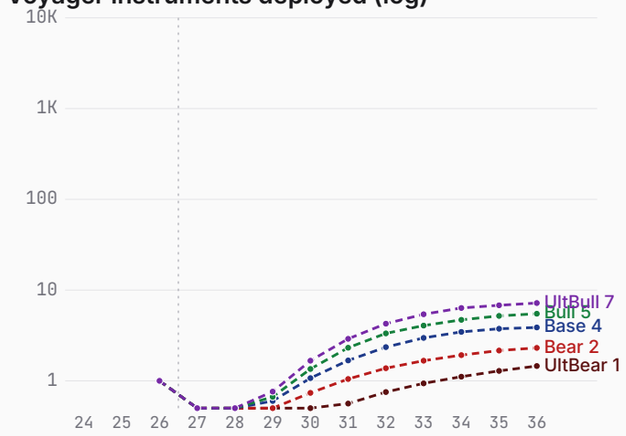

## Path to profitability — op margin (FY27→FY36)



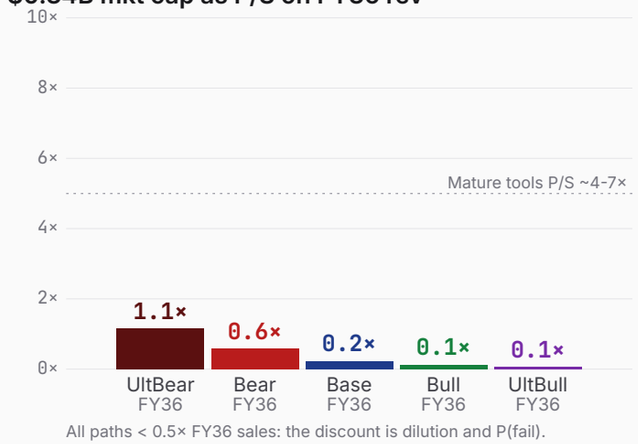

## Cash + dilution (FY26 → FY36)




## Voyager instruments deployed (log)

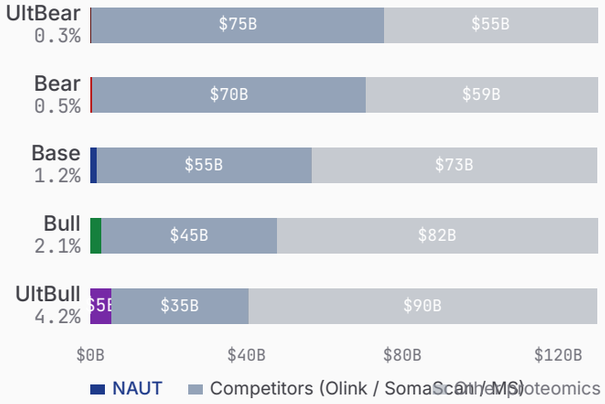



## $0.34B mkt cap as P/S on FY36 rev




All paths < 0.5× FY36 sales: the discount is dilution and P(fail).

## $130B global proteomics TAM (FY36) — NAUT share




Sources: NAUT 10-K FY25, Q2 2026 10-Q and call (Jul 28 2026), 8-K (Sep 11 2026), Nature Methods (Sep 4 2026), MarketsandMarkets proteomics sizing 2030-2035, peer filings (Quantum-Si, Seer, Alamar, Illumina).

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# Nautilus Biotechnology 7 Powers · the moat, scored

Bear $0.00 Base $0.66 Bull $15.99

**Arena.** Broad-scale proteomics — Nautilus's single-molecule protein-analysis platform vs Seer, Olink/Thermo, SomaScan/Illumina, Quantum-Si, Alamar; the race to high-throughput, deep proteome coverage.

**POWER ORIGINATION**
origination window: closing

## POWER ORIGINATION · 7 POWERS

| | |
|---|---|
| **Scale Economies** | No instruments shipped yet; first revenue $0.19M (Q2 2026), no consumable pull-through. |
| **Network Economies** | No installed base or data ecosystem yet. |
| **Counter-Positioning** | Multi-affinity-probe single-molecule decoding — distinct from mass-spec and aptamer incumbents. |
| **Switching Costs** | None until an instrument ships and labs standardize on it. |
| **Branding** | Scientific credibility now peer-reviewed; unproven commercially. |
| **Cornered Resource** · thesis leans here | Iterative Mapping decode IP, peer-reviewed for proteoforms (Nature Methods, Sep 2026); the broad Broadscale configuration missed spec and is undated — proven narrow, unproven broad. Cash is no longer part of the moat. |
| **Process Power** | No manufacturing/assay learning curve yet. |

## THE RACE · NAMED RIVALS

**Seer** — public; cash-funded

~20% terminal share · Proteograph shipping with revenue (nanoparticle enrichment + MS); Q2 2026 revenue $3.1M (−24% YoY on academic-funding headwinds), FY26 guide $16–18M; 100+ customer publications. The Apr-2026 PRECISE-SG100K biobank deployment entrenches incumbent distribution.

**Olink (Thermo Fisher)** — Thermo balance sheet

~20% terminal share · Established PEA panels (~5k proteins); NGS readout; Thermo distribution.

**SomaScan (Illumina)** — Illumina balance sheet

~20% terminal share · Aptamer SomaScan (~11k proteins); acquired by Illumina Jan 2026 (~$425M), ~$22M revenue in Q2 2026, its first full quarter; being paired with Illumina's sequencing/DRAGEN ecosystem for integrated multiomics.

**Quantum-Si** — public

~10% terminal share · Semiconductor protein sequencing; Proteus pushed to Q2 2027 (added design cycle, ~20% RIF), $169.9M cash, runway into Q4 2028 — overlapping NAUT's mid-2027 shipments, but a sequencing modality, not proteoform decode.

**Alamar Biosciences** — public; $220M IPO + revenue

~5% terminal share · NULISA affinity proteomics; IPO Apr 2026 ($220M); Q2 2026 revenue $29.4M (+82%), FY26 guide $116–120M; launched a blood eMTBR-tau assay Jul 2026 — a shipping rival in NAUT's anchor tau application.

## LEAD / LAG · FALSIFIERS

| | | |
|---|---|---|
| Commercial instrument shipping | no (beta 2026; shipments mid-2027) vs yes | LAGGING |
| Demonstrated proteome coverage | limited (dev) vs broad (~5-11k) | LAGGING |
| Cash runway (yrs at burn) | ~1.5 (into Q1 2028) vs unconstrained (Thermo, Illumina) | LAGGING |
| Peer-reviewed publications | 1 flagship (Nature Methods) vs Seer 100+ customer papers | LAGGING |

**COMPETITIVE READ**

Nautilus is originating a genuinely differentiated single-molecule platform whose decode IP is now peer-reviewed, but it is pre-commercial and lags shipping rivals on every demonstrated metric; the window stays open only while the cash lasts — a Voyager shipping to paying customers by mid-2027 is the falsifier. The Power score rests on the proven narrow method; the broad-proteome leg the ultra-bull needs is unproven, which keeps that tail at 3%. Alamar's shipping tau assay contests the anchor application from the affinity side, and Illumina shipping an integrated SomaScan-plus-sequencing workflow at commercial scale remains the second falsifier.

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# Nautilus Biotechnology show your work

Bear $0.00 Base $0.66 Bull $15.99 · Weighted $4.46 (+64.7%)

## ULTRA BEAR $0.00

### ASSUMPTIONS

| | |
|---|---|
| TAM Year-10 ($B) | 130 |
| Mature share (%) | 0.3 |
| Mature op margin (%) | -12 |
| Sales-to-capital | 0.7 |
| Terminal WACC (%) | 12.0 |
| Terminal growth (%) | 2.0 |
| P(failure) (%) | 52 |
| Scenario probability (%) | 20 |

### 10-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY27 | 0.00 | -350% | -0.02 | -0.02 |
| FY28 | 0.01 | -250% | -0.04 | -0.03 |
| FY29 | 0.03 | -180% | -0.08 | -0.05 |
| FY30 | 0.06 | -120% | -0.12 | -0.07 |
| FY31 | 0.10 | -80% | -0.14 | -0.07 |
| FY32 | 0.14 | -50% | -0.13 | -0.06 |
| FY33 | 0.18 | -35% | -0.12 | -0.05 |
| FY34 | 0.22 | -25% | -0.11 | -0.04 |
| FY35 | 0.26 | -18% | -0.10 | -0.03 |
| FY36 | 0.30 | -12% | -0.09 | -0.03 |

| | |
|---|---|
| Σ PV explicit FCF | **-0.44** |
| + PV terminal (g 2.0%) | -0.27 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $-0.71B |
| + Cash & investments | $0.13B |
| **= Equity value** | **$-0.58B** |
| Raised over period | $1.10B |
| Dilution by FY36 | +95% |
| FY36 shares (M) | 2,324 |
| **DCF per share** | **$-0.25** |
| × (1−P_fail) [48%] | $-0.12 |
| + P_fail × distress [52% × $0.10] | $0.05 |
| **= Expected per share** | **$0.00** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $0.00 | $0.00 | $0.00 | $0.00 |
| 0.00× | 0.00× | 0.00× | 0.00× |

## BEAR $0.00

### ASSUMPTIONS

| | |
|---|---|
| TAM Year-10 ($B) | 130 |
| Mature share (%) | 0.5 |
| Mature op margin (%) | 8 |
| Sales-to-capital | 0.7 |
| Terminal WACC (%) | 11.0 |
| Terminal growth (%) | 2.0 |
| P(failure) (%) | 40 |
| Scenario probability (%) | 23 |

### 10-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY27 | 0.01 | -300% | -0.03 | -0.02 |
| FY28 | 0.03 | -200% | -0.08 | -0.06 |
| FY29 | 0.07 | -120% | -0.15 | -0.10 |
| FY30 | 0.14 | -60% | -0.18 | -0.11 |
| FY31 | 0.22 | -30% | -0.18 | -0.10 |
| FY32 | 0.31 | -10% | -0.16 | -0.08 |
| FY33 | 0.40 | +2% | -0.12 | -0.05 |
| FY34 | 0.48 | +6% | -0.09 | -0.03 |
| FY35 | 0.55 | +8% | -0.06 | -0.02 |
| FY36 | 0.60 | +8% | -0.02 | -0.01 |

| | |
|---|---|
| Σ PV explicit FCF | **-0.58** |
| + PV terminal (g 2.0%) | 0.00 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $-0.58B |
| + Cash & investments | $0.13B |
| **= Equity value** | **$-0.45B** |
| Raised over period | $1.10B |
| Dilution by FY36 | +93% |
| FY36 shares (M) | 1,868 |
| **DCF per share** | **$-0.24** |
| × (1−P_fail) [60%] | $-0.14 |
| + P_fail × distress [40% × $0.15] | $0.06 |
| **= Expected per share** | **$0.00** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $0.00 | $0.00 | $0.00 | $0.00 |
| 0.00× | 0.00× | 0.00× | 0.00× |

## BASE $0.66

### ASSUMPTIONS

| | |
|---|---|
| TAM Year-10 ($B) | 130 |
| Mature share (%) | 1.2 |
| Mature op margin (%) | 16 |
| Sales-to-capital | 1.0 |
| Terminal WACC (%) | 9.0 |
| Terminal growth (%) | 2.5 |
| P(failure) (%) | 18 |
| Scenario probability (%) | 44 |

### 10-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY27 | 0.01 | -250% | -0.03 | -0.03 |
| FY28 | 0.06 | -150% | -0.13 | -0.10 |
| FY29 | 0.15 | -80% | -0.21 | -0.15 |
| FY30 | 0.30 | -20% | -0.21 | -0.13 |
| FY31 | 0.52 | +5% | -0.19 | -0.11 |
| FY32 | 0.80 | +10% | -0.20 | -0.10 |
| FY33 | 1.10 | +13% | -0.16 | -0.07 |
| FY34 | 1.35 | +15% | -0.05 | -0.02 |
| FY35 | 1.50 | +16% | +0.09 | +0.04 |
| FY36 | 1.55 | +16% | +0.20 | +0.07 |

| | |
|---|---|
| Σ PV explicit FCF | **-0.61** |
| + PV terminal (g 2.5%) | 1.12 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $0.51B |
| + Cash & investments | $0.13B |
| **= Equity value** | **$0.64B** |
| Raised over period | $1.08B |
| Dilution by FY36 | +85% |
| FY36 shares (M) | 864 |
| **DCF per share** | **$0.74** |
| × (1−P_fail) [82%] | $0.61 |
| + P_fail × distress [18% × $0.30] | $0.05 |
| **= Expected per share** | **$0.66** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $1.02 | $1.56 | $2.40 | $3.70 |
| 0.37× | 0.58× | 0.89× | 1.36× |

## BULL $15.99

### ASSUMPTIONS

| | |
|---|---|
| TAM Year-10 ($B) | 130 |
| Mature share (%) | 2.1 |
| Mature op margin (%) | 22 |
| Sales-to-capital | 1.4 |
| Terminal WACC (%) | 8.0 |
| Terminal growth (%) | 3.0 |
| P(failure) (%) | 8 |
| Scenario probability (%) | 10 |

### 10-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY27 | 0.01 | -200% | -0.03 | -0.03 |
| FY28 | 0.07 | -100% | -0.12 | -0.10 |
| FY29 | 0.22 | -30% | -0.17 | -0.12 |
| FY30 | 0.50 | +5% | -0.17 | -0.11 |
| FY31 | 0.95 | +13% | -0.20 | -0.12 |
| FY32 | 1.50 | +18% | -0.12 | -0.07 |
| FY33 | 1.95 | +21% | +0.09 | +0.04 |
| FY34 | 2.35 | +22% | +0.23 | +0.11 |
| FY35 | 2.65 | +22% | +0.37 | +0.16 |
| FY36 | 2.80 | +22% | +0.51 | +0.20 |

| | |
|---|---|
| Σ PV explicit FCF | **-0.04** |
| + PV terminal (g 3.0%) | 4.12 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $4.08B |
| + Cash & investments | $0.13B |
| **= Equity value** | **$4.21B** |
| Raised over period | $0.75B |
| Dilution by FY36 | +48% |
| FY36 shares (M) | 244 |
| **DCF per share** | **$17.25** |
| × (1−P_fail) [92%] | $15.87 |
| + P_fail × distress [8% × $1.50] | $0.12 |
| **= Expected per share** | **$15.99** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $23.49 | $34.52 | $50.72 | $74.53 |
| 8.67× | 12.74× | 18.72× | 27.50× |

## ULTRA BULL $85.84

### ASSUMPTIONS

| | |
|---|---|
| TAM Year-10 ($B) | 130 |
| Mature share (%) | 4.2 |
| Mature op margin (%) | 30 |
| Sales-to-capital | 1.6 |
| Terminal WACC (%) | 7.5 |
| Terminal growth (%) | 3.5 |
| P(failure) (%) | 3 |
| Scenario probability (%) | 3 |

### 10-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY27 | 0.01 | -150% | -0.03 | -0.03 |
| FY28 | 0.10 | -50% | -0.10 | -0.08 |
| FY29 | 0.35 | +0% | -0.16 | -0.11 |
| FY30 | 0.90 | +10% | -0.25 | -0.17 |
| FY31 | 1.80 | +18% | -0.24 | -0.14 |
| FY32 | 2.90 | +24% | +0.01 | +0.01 |
| FY33 | 3.90 | +27% | +0.43 | +0.22 |
| FY34 | 4.70 | +29% | +0.86 | +0.41 |
| FY35 | 5.10 | +30% | +1.28 | +0.57 |
| FY36 | 5.40 | +30% | +1.43 | +0.59 |

| | |
|---|---|
| Σ PV explicit FCF | **+1.25** |
| + PV terminal (g 3.5%) | 15.24 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $16.49B |
| + Cash & investments | $0.13B |
| **= Equity value** | **$16.62B** |
| Raised over period | $0.65B |
| Dilution by FY36 | +32% |
| FY36 shares (M) | 188 |
| **DCF per share** | **$88.40** |
| × (1−P_fail) [97%] | $85.75 |
| + P_fail × distress [3% × $3.00] | $0.09 |
| **= Expected per share** | **$85.84** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $123.23 | $176.92 | $253.99 | $364.64 |
| 45.47× | 65.28× | 93.72× | 134.55× |

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# Nautilus Biotechnology People · Opportunity · Context · Deal

Bear $0.00 Base $0.66 Bull $15.99

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

**Sujal Patel** · `founder-led` 5 yrs in seat

**14.8%**
insider ownership

**HIGH**
key-person risk

**Capital allocation (realized)**
First revenue Q2 2026 ($0.19M: MJFF alpha-synuclein grant + first Iterative Mapping Early Access customer); opex $15.9M (−7% YoY), net loss $14.5M, 1H26 operating cash outflow $26.8M. Cash + investments $129.2M at 6/30/26 (roughly the market cap at a ~$1 stock); runway guided into Q1 2028, with management anticipating a debt and/or equity raise by mid-2027 and a new $125M at-market program / $300M shelf in place (Sep 2026). Q2 2026 pivot funded by reallocation: Broadscale team halved, proteoform headcount ~tripled. No dividend or buyback; SPAC/PIPE-funded ($350M, 2021).

**Incentive alignment**
Founder-CEO holds ~14.8% beneficial economic stake (10.34M direct + 1.81M via the Sujal Patel 2020 Children's Trust + 5.28M via PFV I, LLC); bought 200,000 shares open-market Sept 2025. FY2025 total compensation ~$1.96M, equity-weighted (~27% salary). Specific PSU/TSR vs. time-based equity terms not separately disclosed in accessible sources.

### GOVERNANCE FLAGS

- SPAC origin (ARYA Sciences Acquisition Corp III; closed Jun 2021)
- single class of common stock (one share = one vote; no super-voting / dual-class)
- independent Chair (Matthew Posard) separate from the CEO
- board of 9, 7 independent; 2 insiders (Patel CEO, Mallick co-founder / Chief Scientist)
- classified board — three staggered classes (an anti-takeover structure)
- insiders own ~29% of shares in aggregate
- a16z cut its stake from ~14% to ~4.9% during 2026: two June secondary blocks (5.0M at $2.35, 3.59M at $2.00) then open-market sales at ~$0.90–1.12 through Sep 9 (13D/A Nos. 3–4), now below the 5% reporting line; Perceptive (2021 PIPE lead) trimmed to 9.1% (13D/A Aug 14 2026) — secondary supply, no control change
- $125M at-the-market program (TD Cowen, Sep 11 2026) + $300M universal shelf effective Sep 18 — at ~$1 the program alone equals ~100% of shares outstanding; no sales disclosed as of Sep 22
- Nasdaq $1 minimum-bid exposure: 25 consecutive sub-$1 closes Aug 4–Sep 8 (trigger 30); the 2025 deficiency was cured Nov 2025 without a reverse split; no reverse-split authorization on the Jun 2026 ballot
- no insider open-market purchases disclosed since the CEO's 200,000-share buy at $0.65–0.71 (Sep 2025); no Form 4s after the Jun 22 2026 director grants

## THE FOUR LEGS

**People** ●●●●○
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot

**Context**
The 7 Powers analysis (Power Origination)

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized. Tail-driven: ~93% of the expected value sits in the 13% bull/ultra-bull mass, 43% of the mass wipes to $0, and the modal case sits below the share price. `+64.7% vs spot $2.71`

> **PEOPLE READ**
> Founder-owner-operator (~14.8%, with open-market buying in 2025) under a single-class one-share-one-vote structure, an independent Chair, and a 7-of-9 independent board — clean alignment and governance for a SPAC-origin name; the offsets are acute key-person concentration (Patel + co-founder Mallick are the platform) and a structural dilution path — the burn is equity-funded, now formalized by a raise planned by mid-2027 and an armed at-market program.

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# Nautilus Biotechnology supporting analysis · disclaimers · glossary

Bear $0.00 Base $0.66 Bull $15.99

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Funded into Q1 2028, no debt.**
$129M cash + investments (Jun 30 2026), zero debt, opex −7% YoY; runway guided into Q1 2028. No longer best-funded: Quantum-Si holds $170M.

2 **Peer-reviewed and revenue-generating.**
Nature Methods (Sep 4 2026): 130 tau proteoform groups resolved at 0.1% abundance, CV < 5.5%. Q2 2026 booked first revenue ($0.19M).

3 **First-mover in proteoform single-molecule.**
Quantum-Si (sequencing) slipped to Q2 2027; affinity platforms (Olink/SomaScan/Alamar) read ensembles, not proteoforms.

4 **Tau strategic positioning.**
Alzheimer's biomarker market $10B+; proteoform-resolved tau reads deeper than Alamar's shipping tau immunoassay. ~20 assays targeted by mid-2028.

5 **Cash ≈ market cap.**
$129M cash (Jun 2026) less a ~$13-14M quarterly burn: a ~$1 stock prices the platform near zero. Offset: a $125M at-market program.

## FALSIFICATION TRIGGERS

**Bear validation**

Broadscale trigger MET Jul 28 2026. Next: shipments slip past mid-2027 · pre-orders < $5M by mid-2027 · equity sold below $1 (base models ~$1.10)

**Bull validation**

Pre-orders > $30M by mid-2027 · FY28 revenue ≥ $65M (base path $55M) · a raise at ≥ $1.75 or a pharma/OEM deal · a Broadscale date restored

**Reframe needed**

Quantum-Si's Proteus (sequencing) now lands Q2 2027, overlapping NAUT's mid-2027 shipments. Alamar shipped a blood tau assay Jul 2026 — if affinity wins Alzheimer's tau first, reframe.

## DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

### Not investment advice.

This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

### Not a professional.

The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

### AI-assisted analysis.

Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

### Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

### Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $NAUT or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

### Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Voyager** — NAUT's single-molecule proteomics platform — instrument + reagents + assays + software for proteoform analysis.

**Proteoforms** — Protein variants from a single gene (post-translational modifications, splice variants). Single-molecule readout resolves these vs ensemble methods.

**Tau** — Microtubule-associated protein; key Alzheimer's biomarker. Tau proteoform analysis is NAUT's first commercial assay, live in Early Access since Jan 2026.

**Early Access Program** — Limited pre-GA release to academic + biopharma partners. Tau live since Jan 2026; AKT1 Early Access late 2026; tau kit GA mid-2027.

**Broadscale** — Voyager's planned 10-billion-protein-mapping configuration; missed target spec in Q2 2026, commercial timeline undated.

**S2C (sales-to-capital)** — Damodaran reinvestment ratio. ΔRevenue / S2C = reinvestment in $. NAUT case ranges 0.7-1.7 (capital-light hardware-software blend).